

Reinsurance Treaty - EX2025001 - 9

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_9

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PARTIES TO THE TREATY

THE REINSURED (Ceding Company):

Example Cedent Inc.

[Registered Address]

[Registration Number]

THE REINSURER:

Example Reinsurer Corp.

[Registered Address]

[Registration Number]

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ARTICLE 1: DEFINITIONS

****1.1**** In this Treaty, unless the context otherwise requires:

****"Ceding Commission"**** means the commission payable by the Reinsurer to the Reinsured as specified in Article 6.

****"Gross Premium Income"**** means all premiums written by the Reinsured in respect of the Business Covered, including additional premiums, but excluding:

- (a) Return premiums on policies cancelled
- (b) Premiums for policies not incepting during the Period of Cover
- (c) Taxes and levies imposed by governmental authorities

****"Loss"**** or ****"Losses"**** means the ultimate net loss sustained by the Reinsured in respect of claims and includes:

- (a) Claims payments and reserves
- (b) Loss adjustment expenses (LAE) allocated and unallocated
- (c) Legal and defense costs
- (d) Claims handling expenses

****"Period of Cover"**** means the period from 01 January 2025 00:01 hours GMT to 31 December 2025 24:00 hours GMT.

****"Quota Share Percentage"**** means the percentage share ceded to the Reinsurer as specified in Article 3.

****"Territory"**** means as defined in Article 2.3.

****"Ultimate Net Loss"**** means the total sum paid or payable by the Reinsured in settlement of losses after making deductions for all recoveries, salvages, and all other reinsurances, but before deduction under this Treaty.

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ARTICLE 2: BUSINESS COVERED

****2.1 Classes of Business****

This Treaty covers the following classes of business written or renewed by the Reinsured:

- (a) Property Insurance (Fire and Allied Perils)

- (b) General Liability Insurance
- (c) Commercial Package Policies
- (d) Business Interruption Insurance
- (e) Marine Cargo Insurance
- (f) Motor Fleet Insurance (Commercial Vehicles only)

****2.2 Exclusions****

This Treaty specifically excludes:

- (a) Life and Health Insurance
- (b) Personal Lines Motor Insurance
- (c) Credit and Surety Insurance
- (d) Professional Indemnity Insurance
- (e) Aviation and Space Insurance
- (f) Nuclear risks and radioactive contamination
- (g) War, terrorism, and political risks (unless specifically covered by extension)
- (h) Cyber risks and data breach liabilities
- (i) Pollution and environmental impairment (gradual)
- (j) Asbestos-related claims
- (k) Any business written on a claims-made basis

****2.3 Territorial Scope****

This Treaty applies to risks located in:

- United Kingdom
- Republic of Ireland
- Member States of the European Union
- European Economic Area

****2.4 Policy Attachment****

All policies incepting or renewing during the Period of Cover are automatically included in this Treaty, subject to the terms and conditions herein.

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ARTICLE 3: REINSURANCE SHARE

****3.1 Quota Share Percentage****

The Reinsurer agrees to accept ****60%**** (sixty percent) of each and every risk accepted by the Reinsured within the scope of Business Covered as defined in Article 2.

The Reinsured retains for its own account ****40%**** (forty percent) of each and every such risk.

****3.2 Application****

The Quota Share Percentage shall apply uniformly to:

- (a) All premiums received or receivable
- (b) All losses paid or payable
- (c) All loss adjustment expenses
- (d) All commissions earned on premiums
- (e) All policy-related expenses as agreed

****3.3 No Selection****

The Reinsured shall not have the right to select which risks are ceded to this Treaty. All eligible business must be ceded on a pro-rata basis according to the Quota Share Percentage.

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ARTICLE 4: RETENTION AND CAPACITY

****4.1 Maximum Retention****

The Reinsured's maximum net retention per risk after application of this Treaty shall not exceed:

- Property Risks: GBP 2,000,000 per risk
- Liability Risks: GBP 1,500,000 per risk occurrence
- Marine Cargo: GBP 1,000,000 per conveyance
- Motor Fleet: GBP 500,000 per vehicle

****4.2 Maximum Line****

The maximum line ceded to this Treaty per risk shall be:

- Property Risks: GBP 3,000,000
- Liability Risks: GBP 2,250,000
- Marine Cargo: GBP 1,500,000
- Motor Fleet: GBP 750,000

****4.3 Catastrophe Accumulation****

The Reinsurer's maximum aggregate liability for all losses arising from any one event or catastrophe shall be limited to ****GBP 50,000,000**** (fifty million pounds sterling).

For the purposes of this clause, "one event" means:

- (a) In respect of natural catastrophes: all losses occurring within a period of 168 consecutive hours
- (b) In respect of man-made catastrophes: all losses arising from a single occurrence or series of occurrences attributable to one cause
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ARTICLE 5: PREMIUM

****5.1 Premium Basis****

The Reinsurer shall receive ****60%**** of the Gross Premium Income in respect of all Business Covered under this Treaty.

****5.2 Premium Calculation****

Premiums shall be calculated on a written premium basis and shall include:

- (a) All policy premiums
- (b) Additional premiums and endorsements
- (c) Reinstatement premiums (if applicable)
- (d) Portfolio premiums (if applicable)

Less:

- (e) Return premiums on cancelled policies
- (f) Portfolio withdrawals (if applicable)

****5.3 Minimum and Deposit Premium****

****Minimum Annual Premium:**** GBP 5,000,000

****Deposit Premium:**** GBP 6,000,000 payable as follows:

- 25% within 30 days of inception (GBP 1,500,000)
- 25% on 01 April 2025 (GBP 1,500,000)
- 25% on 01 July 2025 (GBP 1,500,000)
- 25% on 01 October 2025 (GBP 1,500,000)

****5.4 Premium Adjustment****

Premiums shall be adjusted quarterly based on actual Gross Premium Income. The Reinsured shall provide premium bordereaux as specified in Article 12 within 30 days following each calendar quarter end.

****5.5 Premium Warranty****

The Reinsured warrants that all premiums ceded under this Treaty are calculated in accordance with the Reinsured's standard rating procedures and that no preferential terms have been granted for the purpose of reducing reinsurance premiums.

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ARTICLE 6: CEDING COMMISSION

****6.1 Commission Rate****

The Reinsurer shall allow the Reinsured a ceding commission of ****32.5%**** (thirty-two point five percent) of the reinsurance premium payable under this Treaty.

****6.2 Commission Components****

The ceding commission is intended to cover:

- (a) Acquisition costs
- (b) General administrative expenses

- (c) Premium collection costs
- (d) Policy issuance and maintenance
- (e) Underwriting expenses

****6.3 Sliding Scale Commission****

In addition to the fixed ceding commission, a sliding scale commission shall apply as follows:

Loss Ratio	Commission Rate
0% - 50%	35.0%
50.01% - 55%	34.0%
55.01% - 60%	33.0%
60.01% - 65%	32.5%
65.01% - 70%	31.5%
70.01% - 75%	30.0%
Over 75%	28.0%

****Loss Ratio**** is defined as: $(\text{Incurred Losses} / \text{Net Reinsurance Premium}) \times 100$

The sliding scale commission shall be calculated and adjusted annually at the end of the Period of Cover.

****6.4 Commission Payment****

Ceding commission shall be offset against reinsurance premium due and payable quarterly in accordance with the premium payment schedule.

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ARTICLE 7: PROFIT COMMISSION

****7.1 Profit Commission Rate****

Subject to the conditions below, the Reinsurer shall pay to the Reinsured a profit commission of ****20%**** (twenty percent) of the underwriting profit.

****7.2 Profit Calculation****

Underwriting profit shall be calculated as follows:

****Reinsurance Premium****

Less: Ceding Commission

Less: Incurred Losses (paid losses plus reserves)

Less: Reinsurer's Management Expenses (2% of reinsurance premium)

Less: Contingency Reserve (see Article 7.3)

= ****Underwriting Profit****

****7.3 Contingency Reserve****

A contingency reserve of ****15%**** (fifteen percent) of net reinsurance premium shall be established and carried forward for three years to protect against adverse development of losses.

The contingency reserve shall be:

- Accumulated during the first three years of the treaty relationship
- Released after three years if losses remain stable
- Available to offset deficits in subsequent years

****7.4 Profit Commission Payment****

Profit commission shall be calculated and paid annually within 90 days following the end of each treaty year, subject to:

- (a) Receipt of audited accounts
- (b) Completion of loss reserve reviews
- (c) All premiums having been paid
- (d) No material disputes outstanding

****7.5 Profit Commission Conditions****

Profit commission shall only be payable if:

- (a) The loss ratio does not exceed 70%
- (b) The combined ratio does not exceed 105%
- (c) All premium and loss bordereaux are up to date
- (d) The treaty remains in force

ARTICLE 8: LOSSES

****8.1 Loss Participation****

The Reinsurer shall indemnify the Reinsured for ****60%**** of the Ultimate Net Loss in respect of each and every loss covered under this Treaty, subject to the terms and conditions herein.

****8.2 Loss Notification****

The Reinsured shall notify the Reinsurer of:

- (a) All losses exceeding GBP 250,000 (gross) within 30 days of notification to the Reinsured
- (b) All catastrophe losses within 72 hours of the event
- (c) Any loss which may involve coverage disputes or litigation

****8.3 Loss Settlement****

****8.3.1**** The Reinsurer agrees to follow the settlements of the Reinsured provided such settlements are within the terms and conditions of the original policies and this Treaty.

****8.3.2**** All loss settlements made by the Reinsured in good faith shall be binding upon the Reinsurer.

****8.3.3**** The Reinsurer shall not be bound by any settlement made by the Reinsured without the Reinsurer's consent where:

- (a) The gross loss exceeds GBP 5,000,000 per risk
- (b) The claim involves ex-gratia payments outside policy terms
- (c) The claim is compromised for less than 75% of the reserved amount exceeding GBP 1,000,000

****8.4 Loss Adjustment Expenses****

****8.4.1 Allocated Loss Adjustment Expenses (ALAE)****

The Reinsurer shall participate in ALAE in the same proportion as losses (60%), including:

- Claims investigation costs
- Legal fees and defense costs
- Expert witness fees

- Claims adjuster fees directly attributable to specific claims

****8.4.2 Unallocated Loss Adjustment Expenses (ULAE)****

The Reinsurer shall allow an additional ****3%**** of incurred losses for ULAE, covering general claims department overhead.

****8.5 Cash Loss****

Losses shall be payable by the Reinsurer to the Reinsured on a cash loss basis within 30 days of receipt of loss bordereaux showing paid losses.

****8.6 Loss Reserves****

The Reinsured shall establish loss reserves in accordance with generally accepted actuarial principles. The Reinsurer's share of outstanding loss reserves shall be shown on quarterly bordereaux but shall not be payable until losses are actually paid.

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ARTICLE 9: SPECIAL PROVISIONS

****9.1 Errors and Omissions****

Inadvertent delays, errors, or omissions in reporting or remitting premiums or losses shall not relieve either party of any liability under this Treaty, provided such errors are rectified within 12 months of discovery.

****9.2 Offset****

The Reinsurer shall have the right to offset any balances due from the Reinsured against any balances due to the Reinsured under this Treaty or any other treaty or contract between the parties.

****9.3 Currency****

****9.3.1**** This Treaty is denominated in Pounds Sterling (GBP).

****9.3.2**** All premiums and losses in currencies other than GBP shall be converted to GBP at:

- Premiums: the rate of exchange prevailing on the first day of the month in which the premium is due
- Losses: the rate of exchange prevailing on the date of loss payment

****9.3.3**** Exchange rates shall be based on the Bank of England reference rates.

****9.4 Insolvency****

In the event of insolvency of the Reinsured, the reinsurance under this Treaty shall be payable directly to the liquidator, receiver, or statutory successor of the Reinsured on the basis of claims allowed against the Reinsured without diminution by reason of the insolvency.

****9.5 Intermediary****

****Intermediary:**** [Intermediary Name and Address]

The parties agree that [Intermediary Name] shall act as intermediary for this Treaty. All communications, premium remittances, and loss settlements shall be conducted through the Intermediary unless otherwise agreed.

The Intermediary is authorized to:

- (a) Receive and transmit premiums and losses
- (b) Issue debit and credit notes
- (c) Facilitate communications between parties
- (d) Maintain treaty records
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ARTICLE 10: DURATION AND TERMINATION

****10.1 Period of Cover****

This Treaty shall be effective from ****01 January 2025 at 00:01 hours GMT**** and shall continue until ****31 December 2025 at 24:00 hours GMT****.

****10.2 Automatic Termination****

This Treaty shall automatically terminate at the expiry date unless renewed by mutual written agreement of both parties at least 90 days prior to expiry.

****10.3 Cancellation****

****10.3.1**** Either party may cancel this Treaty by giving 90 days written notice to the other party.

****10.3.2**** In the event of cancellation, the Treaty shall terminate in respect of new and renewal business attaching after the cancellation date.

****10.3.3**** The Reinsurer shall remain liable for its share of losses occurring under policies incepting prior to the cancellation date.

****10.4 Run-Off****

Upon termination or expiry of this Treaty:

****10.4.1**** The Reinsurer shall remain liable for all losses under policies incepting during the Period of Cover, regardless of when the loss occurs.

****10.4.2**** All reporting and settlement obligations shall continue until all liabilities are extinguished.

****10.4.3**** The parties may agree to a commutation of liabilities by mutual consent.

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ARTICLE 11: PORTFOLIO WITHDRAWAL AND ENTRY

****11.1 Portfolio Entry Premium****

Not applicable for this treaty year.

****11.2 Portfolio Withdrawal Premium****

In the event this Treaty is not renewed, the Reinsured may, at its option, withdraw the unearned premium portfolio by paying the Reinsurer a portfolio withdrawal commission of ****32.5%**** of the unearned reinsurance premium.

The portfolio withdrawal shall include:

- (a) The Reinsurer's share of unearned premiums
- (b) The Reinsurer's share of outstanding loss reserves
- (c) Adjustment for ceding commission

****11.3 Calculation Date****

Portfolio calculations shall be based on figures as of the date of termination or expiry.

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ARTICLE 12: REPORTING REQUIREMENTS

**12.1 Premium

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